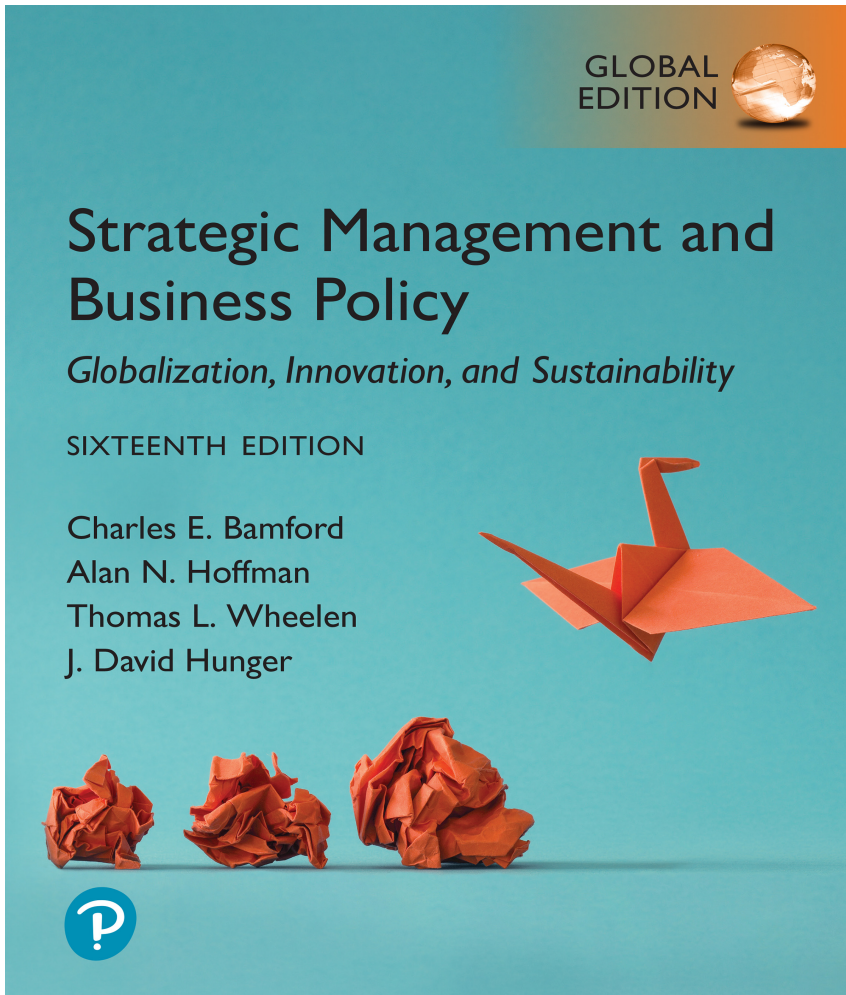


# Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



## Chapter 2

### Corporate Governance

# Learning Objectives

- 2.1** Describe the role and responsibilities of the board of directors in corporate governance
- 2.2** Explain how the composition of a board can affect its operation
- 2.3** Discuss trends in corporate governance
- 2.4** Explain how executive leadership is an important part of strategic management

# Role of the Board of Directors (1 of 2)

- **Corporation**
  - a mechanism established to allow different parties to contribute capital, expertise, and labor for their mutual benefit
- The corporation is fundamentally governed by the **board of directors overseeing top management**, with the concurrence of the shareholders.

# Role of the Board of Directors (2 of 2)

- **Corporate governance**
  - refers to the relationship among the board of directors, top management, and shareholders in determining the direction and performance of the corporation

# Responsibilities of the Board

1. Effective board leadership including the processes, makeup, and output of the board
2. Strategy of the organization
3. Risk vs. initiative and the overall risk profile of the organization
4. Succession planning for the board and top management team
5. Sustainability

# Role of the Board in Strategic Management

- **Monitor** developments inside and outside the corporation
- **Evaluate and Influence** management proposals, decisions and actions
- **Initiate and Determine** the corporation's mission and specify strategic options

# Figure 2-1

## Board of Directors' Continuum



**Source:** T. L. Wheelen and J. D. Hunger, "Board of Directors' Continuum," Copyright © 1994 by Wheelen and Hunger Associates. Reprinted by permission

# Board of Directors Composition (1 of 4)

- **Inside directors**
  - typically officers or executives employed by the corporation
- **Outside directors**
  - may be executives of other firms but are not employees of the board's corporation

# Board of Directors Composition (2 of 4)

- **Agency theory**
  - states that problems arise in corporations because the agents (top management) are not willing to bear responsibility for their decisions unless they own a substantial amount of stock in the corporation

# Board of Directors Composition (3 of 4)

- **Stewardship theory**
  - proposes that, because of their long tenure with the corporation, insiders (senior executives) tend to identify with the corporation and its success

# Board of Directors Composition (4 of 4)

- **Affiliated directors**
  - not employed by the corporation, handle legal or insurance work
- **Retired executive directors**
  - used to work for the corporation, partly responsible for past decisions affecting current strategy
- **Family directors**
  - descendants of the founder and own significant blocks of stock

# Codetermination: Should Employees Serve on Boards? (1 of 3)

- **Codetermination**
  - the inclusion of a corporation's workers on its board
  - began only recently in the United States
- Although the movement to place employees on the boards of directors of U.S. companies shows little likelihood of increasing, the European experience reveals an increasing acceptance of worker participation on corporate boards

# Codetermination: Should Employees Serve on Boards? (2 of 3)

- **Direct interlocking directorate**
  - when two firms share a director or when an executive of one firm sits on the board of a second
- **Indirect interlocking directorate**
  - when two corporations have directors who serve on the board of a third firm

# Codetermination: Should Employees Serve on Boards? (3 of 3)

- **Interlocking directorates**
  - useful for gaining both inside information about an uncertain environment and objective expertise about potential strategies and tactics

# Evaluating Governance

**S&P Corporate Governance Scoring System  
researches four major issues:**

1. Ownership structure and influence
2. Financial stakeholder rights and relations
3. Financial transparency and information disclosure
4. Board structure and processes

# Trends in Corporate Governance (1 of 2)

- Boards shaping company strategy
- Institutional investors active on boards
- Shareholder demands that directors and top management own significant stock
- More involvement of non-affiliated outside directors
- Increased representation of women and people of color
- Establishing mandatory retirement age, typically 72
- Boards evaluating individual directors

# Trends in Corporate Governance (2 of 2)

- Smaller boards
- Splitting the Chair and CEO positions
- Boards are eliminating 1970s anti-takeover defenses
- Increasingly looking for members with international experience
- Shareholders may begin to nominate board members
- Society expects boards to balance profitability with social needs of society

# The Role of Top Management

- **Top management responsibilities**
  - getting things accomplished through and with others in order to meet the corporate objectives
  - multidimensional and oriented toward the welfare of the total organization

# Executive Leadership and Strategic Vision (1 of 3)

- **Executive leadership**
  - directs activities toward the accomplishment of corporate objectives
  - sets the tone for the entire corporation
- **Strategic vision**
  - description of what the company is capable of becoming

# Executive Leadership and Strategic Vision (2 of 3)

- **Transformational leaders**
  - leaders who provide change and movement in an organization by providing a vision for that change

# Executive Leadership and Strategic Vision (3 of 3)

## Three key characteristics of effective CEOs:

1. Articulate a strategic vision for the corporation.
2. Present a role for others to identify with and follow.
3. Communicate high-performance standards and also show confidence in the followers' abilities to meet these standards.

# Managing the Strategic Planning Process (1 of 2)

- **Strategic planning staff**
  - charged with supporting both top management and the business units in the strategic planning process

# Managing the Strategic Planning Process (2 of 2)

## **Strategic planning staff responsibilities include:**

1. Identify and analyze companywide strategic issues, and suggest corporate strategic alternatives to top management
2. Work as facilitators with business units to guide them through the strategic planning process

# Q & A